CO3 AT-2 Case Study: Financial Data Processing System (Merge Sort vs Quick Sort)

NAME: MURALI KRISHNAN N

REG NO: 192524090

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1. Understanding of the Case

1.1 Introduction to the Financial Data Processing System

A Financial Data Processing System is used by banks, insurance companies, stock markets, and business organizations to manage a large number of financial transactions. Every day, millions of records such as deposits, withdrawals, online payments, fund transfers, invoices, and purchase transactions are generated. Before these records can be used for reporting, auditing, fraud detection, or financial analysis, they must be sorted accurately and efficiently.

The choice of a suitable sorting algorithm directly affects the overall performance of the system. An efficient sorting algorithm reduces processing time, improves report generation, and ensures reliable data management.

1.2 Importance of Sorting Financial Transactions

Sorting financial records provides several advantages:

- Enables faster searching and retrieval of transaction details.
- Improves the accuracy of financial reports.
- Supports efficient auditing and compliance checking.
- Helps detect duplicate or suspicious transactions.
- Enhances data analysis and decision-making.
- Reduces processing time for large datasets.

Since financial systems handle sensitive information, the sorting algorithm must produce accurate and consistent results.

1.3 Key Challenges and Issues Identified

The financial system faces several important challenges while sorting transaction records:

- Handling millions of transaction records efficiently.
- Maintaining the original order of transactions with equal values (stability).
- Reducing execution time for report generation.
- Minimizing memory consumption.
- Providing consistent performance regardless of input data.
- Supporting future growth as transaction volumes increase.

These challenges make selecting the appropriate sorting algorithm a critical design decision.

2. Application of Concepts

2.1 Divide and Conquer Technique

Both Merge Sort and Quick Sort are based on the Divide and Conquer strategy.

The Divide and Conquer approach consists of three stages:

1. Divide – Break the large problem into smaller sub-problems.
2. Conquer – Solve each sub-problem recursively.

3. Combine – Merge or combine the solutions to obtain the final sorted output.

This approach improves efficiency and simplifies complex sorting problems.

2.2 Working of Merge Sort

Merge Sort divides the transaction list into two equal halves until each sub-array contains only one element.

The algorithm then merges these smaller sorted arrays step by step until the complete array becomes sorted.

Characteristics

- Stable sorting algorithm.
- Guaranteed O(n log n) time complexity.
- Suitable for large datasets.
- Requires additional memory for merging.
- Produces consistent performance in every case.
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2.3 Working of Quick Sort

Quick Sort selects one element as the pivot.

The remaining elements are partitioned into two groups:

- Elements smaller than the pivot.
- Elements larger than the pivot.

The same process is repeated recursively until the entire list is sorted.

Characteristics

- In-place sorting algorithm.
- Faster average execution.
- Requires very little extra memory.
- Performance depends on pivot selection.
- Not a stable sorting algorithm.

2.4 Comparison of Algorithm Concepts

Both algorithms use Divide and Conquer but differ in implementation.

- Merge Sort combines sorted sub-arrays after division.
- Quick Sort partitions the array around a pivot before recursive sorting.
- Merge Sort guarantees consistent performance.
- Quick Sort usually performs faster but may degrade in worst-case situations.

3. Analysis

3.1 Performance Analysis

Merge Sort

Merge Sort always executes in O(n log n) time, regardless of the input order. Whether the transaction records are already sorted, randomly arranged, or in reverse order, the performance remains consistent.

Because of this predictable execution time, Merge Sort is widely used in applications where reliability is essential.

Quick Sort

Quick Sort performs extremely well in average cases and is considered one of the fastest practical sorting algorithms.

However, if the pivot is selected poorly, its performance can decrease to $O(n^2)$, making it unsuitable for some critical applications.

3.2 Time Complexity Comparison

Case	Merge Sort	Quick Sort
Best Case	O(n log n)	O(n log n)
Average Case	O(n log n)	O(n log n)
Worst Case	O(n log n)	$O(n^2)$

Analysis

Merge Sort provides guaranteed performance, while Quick Sort's efficiency depends on pivot selection.

3.3 Space Complexity Comparison

Algorithm	Space Complexity
Merge Sort	O(n)
Quick Sort	O(log n)

Merge Sort requires additional memory during merging, whereas Quick Sort sorts in-place and consumes less memory.

3.4 Stability Analysis

Merge Sort

- Stable sorting algorithm.
- Equal transaction records remain in their original order.
- Suitable for banking and accounting systems.

Quick Sort

- Not stable.
- Equal transaction records may change their original order.
- Less suitable when transaction sequence is important.

3.5 Speed and Memory Usage Analysis

Merge Sort

Advantages

- Consistent execution time.
- Reliable performance.
- Stable sorting.

Disadvantages

- Higher memory usage.
- Slightly slower due to merging operations.

Quick Sort

Advantages

- Very fast average performance.
- Low memory consumption.
- Efficient for in-memory sorting.

Disadvantages

- Worst-case $O(n^2)$.
- Performance depends on pivot selection.
- Not stable.

3.6 Comparative Summary Table

Feature	Merge Sort	Quick Sort
Technique	Divide and Conquer	Divide and Conquer
Stability	Stable	Not Stable
Best Case	O(n log n)	O(n log n)
Average Case	O(n log n)	O(n log n)
Worst Case	O(n log n)	$O(n^2)$
Space Complexity	O(n)	O(log n)
Memory Usage	High	Low
Speed	Moderate	Faster on Average
Suitable For	Financial Systems	General Applications

4. Solution Design

4.1 Proposed Solution

The proposed solution is to use Merge Sort for sorting financial transaction records.

Merge Sort guarantees efficient performance and maintains transaction order, making it highly reliable for financial applications.

4.2 Justification for Choosing Merge Sort

Merge Sort is selected because:

- It guarantees O(n log n) performance.
- It preserves the original order of equal transactions.
- It produces reliable and predictable execution.
- It supports very large datasets.
- It improves reporting accuracy.
- It is suitable for auditing and regulatory compliance.
- It reduces the risk of incorrect transaction ordering.

Although Merge Sort requires additional memory, modern financial servers have sufficient resources to handle this requirement.

4.3 Situations Where Quick Sort Can Be Preferred

Quick Sort may be chosen when:

- Memory availability is limited.
- Data is stored entirely in main memory.
- Stability is not required.
- Faster average execution is preferred.
- The dataset is relatively small.

4.4 Expected Benefits of the Proposed Solution

Using Merge Sort provides several benefits:

- Faster report generation.
- Accurate transaction ordering.
- Reliable auditing.
- Better fraud detection.
- Improved customer service.

- Consistent system performance.
- High scalability for future business growth.

5. Clarity

5.1 Overall Recommendation

Both Merge Sort and Quick Sort are efficient Divide and Conquer algorithms. Quick Sort provides excellent average-case speed and low memory usage. However, its worst-case performance and lack of stability make it less suitable for financial transaction processing.

Merge Sort provides guaranteed execution time, stable sorting, predictable performance, and greater reliability. These characteristics make it the preferred choice for financial systems where data accuracy is more important than memory optimization.

5.2 Conclusion

A Financial Data Processing System requires an algorithm that ensures accuracy, consistency, reliability, and efficient handling of large transaction datasets. After comparing Merge Sort and Quick Sort, it is evident that both algorithms have strengths and limitations.

Quick Sort is faster on average and uses less memory, making it suitable for general-purpose applications. However, its worst-case complexity of $O(n^2)$ and unstable nature make it less appropriate for financial systems where transaction order must be preserved.

Merge Sort consistently performs in O(n log n) time, regardless of input conditions. It is a stable sorting algorithm that maintains the original order of equal transactions, ensuring reliable financial reporting and auditing. Although it requires additional memory, this drawback is outweighed by its accuracy, predictability, and scalability.

Therefore, Merge Sort is the most suitable sorting algorithm for a Financial Data Processing System because it provides stable, efficient, and dependable performance, ensuring accurate transaction processing and high-quality financial analysis.